

TechVanguard Software Inc.

Consolidated Financial Statements - FY2024

Currency: USD (Amounts in thousands)

CONSOLIDATED BALANCE SHEET

Line Item	2024	2023
Cash and cash equivalents	48,500	35,200
Marketable securities	15,000	12,000
Accounts receivable	22,300	18,900
Prepaid expenses	4,200	3,800
Total Current Assets	90,000	69,900
Property, plant & equipment	12,400	10,500
Goodwill and intangible assets	38,000	40,000
Total Non-Current Assets	50,400	50,500
Total Assets	140,400	120,400
Accounts payable	8,500	7,200
Short-term debt	5,000	4,000
Accrued liabilities	14,500	11,800
Total Current Liabilities	28,000	23,000
Long-term debt	30,000	35,000
Total Non-Current Liabilities	30,000	35,000
Total Liabilities	58,000	58,000
Common stock	1,000	1,000
Retained earnings	81,400	61,400
Total Stockholders Equity	82,400	62,400
Total Liabilities and Stockholders Equity	140,400	120,400

CONSOLIDATED STATEMENT OF OPERATIONS (INCOME STATEMENT)

Line Item	2024	2023
Total Revenue	125,000	98,000
Cost of Goods Sold	31,250	26,460
Gross Profit	93,750	71,540
Research and Development	28,000	22,500
Selling, General and Administrative	35,000	28,000
Total Operating Expenses	63,000	50,500
Operating Income	30,750	21,040
Interest Expense	1,800	2,100
Income Before Taxes	28,950	18,940
Income Tax Expense	6,080	3,980
Net Income	22,870	14,960

TechVanguard Software Inc. - Notes to the Consolidated Financial Statements

Fiscal Period Ended December 31, FY2024

Note 1 - Organization and Summary of Significant Accounting Policies

TechVanguard Software Inc. is a provider of cloud-based enterprise intelligence software. The accompanying consolidated financial statements have been prepared in conformity with US GAAP. Revenue is recognized pursuant to ASC 606 when control of promised software services is transferred to customers, typically ratably over annual or multi-year subscription terms. Trade receivables are carried at face value less allowance for credit losses. Capitalized software development costs are amortized on a straight-line basis over 3 years.

Note 2 - Operating Leases and Commitments

The Company leases office facilities and data center capacity under non-cancelable operating leases expiring at various dates through 2029. As of December 31, 2024, operating lease liabilities were USD 8.4 million with a weighted-average remaining lease term of 4.2 years and a discount rate of 5.5%. Future minimum lease obligations are USD 2.5 million in 2025, USD 2.2 million in 2026, and USD 3.7 million thereafter.

Note 3 - Credit Facilities and Long-Term Debt

As of December 31, 2024, the Company maintained a senior secured term loan facility with an outstanding principal of USD 30.0 million bearing interest at Term SOFR plus 2.25%. The credit agreement contains financial covenants requiring maintenance of a minimum fixed charge coverage ratio of 1.25x and maximum leverage ratio of 2.75x. The Company was in full compliance with all covenants.

Note 4 - Stock-Based Compensation

The Company recognized stock-based compensation expense of USD 4.8 million for the year ended December 31, 2024. Restricted stock units (RSUs) vest over a four-year period with a 25% cliff at one year and quarterly vesting thereafter. Unrecognized compensation expense related to unvested awards was USD 7.2 million, expected to be recognized over 2.6 years.